

HEDGEYE DAILY DIGEST

August 4, 2026 · Reader timezone GMT+8

August has flipped the regime: July's Monthly **#Quad4** is over and August opens in Monthly **#Quad3**, where inflation reaccelerates modestly while real growth slows. Keith McCullough is covering the residual **Technology (XLK)** short as the signal recaptures bullish TRADE, tilting toward secular / organic growth over cyclical Semis, running a country long/short book (long **Colombia, Brazil, New Zealand, Philippines**; short **South Korea**), and flagging rising bond volatility as the next risk. U.S. asset allocation sits near its highest in months with the **VIX below 19**.

Timing note: This run executes Tuesday, Aug 4 (GMT+8) — Monday evening EDT — before any Tuesday U.S. content exists. The freshest Hedgeye batch is **Monday, Aug 3 (EDT)**, covered in detail below as "Today." "Yesterday" covers the prior publishing day, **Friday, July 31 (EDT)**; Hedgeye does not publish Sat/Sun, so a weekend gap separates the two.

TODAY'S PUBLICATIONS — Monday, August 3 (EDT)

EARLY LOOK — "Quantum Quads"

Early Look · 08/03/26 07:41 AM EDT · Keith McCullough

McCullough frames markets as an interconnected quantum system — Dollar, Yields, Volatility, Quad and Nowcast read simultaneously across durations rather than through a single ticker. The headline call: **July's Monthly #Quad4 is over; August's Nowcast is #Quad3**, the regime where secular growth (accelerating YoY "Pod1" revenue) outperforms while cyclical revenue — think **Semis** — that has peaked gets punished.

Currency was the week's driver. A managed **-2.8%** drop in **USD/JPY** broke TRADE and TREND supports, yet the **Nikkei** still fell **-0.9%** overnight (Bearish TREND) and the **JGB 10yr yield** rose **+3bps**. The **USD Index** fell **-1.5%** to Neutral TREND; **EUR/USD** popped **+1.1%** to Neutral. Standout moves: **Colombian Peso +2.2%** on the week (**+8.8%** in a month) and **Korean Won +2.8%** (**+8.7%** monthly).

Positioning maps directly: Hedgeye is **long Colombia (COLO)** — which closed at an **all-time high** — and **short South Korea (EWY)**, down another **-5.1%** overnight. Also **long Brazil (EWZ)** (+2.3% on the week after a bullish Quad shift) and **short Israel (EIS)** (-2.4%). In U.S. equities, **Consumer Discretionary (XLY)** ramped **+6.1%** on Amazon's moonshot, while **Utilities (XLU)** broke to Bearish TREND on the bond-yield breakout.

Investment implication: Go anywhere, but not everywhere. In #Quad3, favor secular-growth equities and select international longs where price/volume/volatility signals confirm; avoid decelerating cyclicals (Semis) and stay signal-first rather than narrative-driven.

Risk Range™ Signals (Monday, Aug 3)

Asset	Risk Range	TREND
10Y UST Yield (UST10Y)	4.61 – 4.75	Bullish
High Yield (HYG)	79.23 – 79.78	Bullish
IG Corp Bonds (LQD)	105.8 – 107.1	Bearish
S&P 500 (SPX)	7328 – 7567	Bullish
NASDAQ Composite (COMPQ)	24317 – 25952	Neutral
Russell 2000 (RUT)	2871 – 2999	Bullish
Technology (XLK)	166 – 184	Neutral

Asset	Risk Range	TREND
Health Care (XLV)	158 – 168	Bullish
Real Estate (XLRE)	44.53 – 46.11	Bullish
Volatility (VIX)	15.09 – 20.66	Bearish
U.S. Dollar (USD)	99.70 – 101.52	Neutral
WTI Crude (WTIC)	76.49 – 93.01	Bearish
Natural Gas (NATGAS)	2.62 – 2.93	Bearish
Gold (GOLD)	4002 – 4147	Bearish
Copper (COPPER)	6.27 – 6.63	Bullish
Silver (SILVER)	57 – 61	Bearish

MOMO TRACKER — Mag7 (+3.2%), AMZN (+15.3%)

Momentum Stock Tracker · 08/03/26 07:54 AM EDT · Christian Drake / Ryan Ricci

The Magnificent 7 basket bounced **+3.2%**, led by **Amazon (AMZN) +15.3%**. Despite the rip, **7 of 9** tracked Risk Ranges still show **Downside > Upside** — a caution flag that the bounce hasn't repaired the broader setup. The tracker flags the **Monthly Quad3 = "Tech Positive (?)"** tension: the regime is historically kind to Tech, but the question mark reflects that momentum / Semis leadership has been the source of recent damage.

THE MACRO SHOW — Summary Notes (Monday, Aug 3)

The Macro Show · 08/03/26 10:34 AM EDT

The most complete read on positioning. **Bullish:** Philippines (EPHE), Energy (XLE), Oil Refiners (CRAK), S&P 500 Equal Weight (RSP), New Zealand (ENZL), Colombia (COLO), Brazil (EWZ), Gold (GLD). **Bearish:** South Korea (EWY), Long Treasuries (TLT).

Key threads: **South Korea (EWY)** stays short after falling **>5%** overnight and roughly **-31%** from its cycle peak — held through the squeeze because “the largest rallies occur inside bear-market declines.” The **Philippines (EPHE)** long (+1.6% overnight) is the paired offset. **Energy** stays long via **XLE / CRAK**, but there is **no direct crude position** — WTI broke its TRADE level near **\$83** (TREND **~\$81**) with oil vol in the low-60s, so the drop isn't an automatic buy.

U.S. equity exposure is near a **multi-month high** because the **VIX is below 19** (“Investable Bucket”); the instruction is to buy weakness. The **Technology short is being covered** as **XLK** recaptures bullish TRADE and nears TREND — favoring software / Microsoft over cyclical Semis. **Gold** was bought last week (first purchase in a while), with **~\$4,101** flagged as the medium-term TRADE breakout. A **TLT short** is on the table as **bond volatility** (MOVE Index, 30Y yield) spikes even as equity vol stays calm; the **10Y range is ~4.61%–4.75%**. Europe / euro shorts, **Copper**, **Corn** and **Wheat** were all exited.

CAPITAL ALLOCATION PRO — Daily Dashboard

Capital Allocation Pro · 08/03/26 08:46 AM EDT · McGroarty / Nanai / Salem

The standing model-portfolio dashboard across Hedgeye's **68 ETFs**. The most recent Model Portfolio Changes go into effect using **closing prices from Thursday, July 30**; TREND / TAIL levels follow the standard 3–4 week refresh cycle. No new email-flagged (“signal, not noise”) changes were pushed with this dashboard update.

SIGNAL STRENGTH STOCKS — 68 Stocks (4 Added, 2 Removed)

Signal Strength Stocks · 08/03/26 11:21 AM EDT

Added: SYF, COF, PM, TTWO. **Removed:** LAMR, CRWD. The additions of **Synchrony (SYF)** and **Capital One (COF)** lean consumer-finance, with **Philip Morris (PM)** and **Take-Two (TTWO)** rounding out the list — consistent with the #Quad3 tilt toward resilient / secular-growth names over decelerating cyclicals.

CRYPTO QUANT — BTC (-0.5%)

Bitcoin Trend Tracker · 08/03/26 07:12 AM EDT · Drake / Steiner / Cooper

Bitcoin slipped **-0.5%** overnight and U.S. spot-BTC **ETF flows ran -\$75M week-over-week** — a quiet, outflow-leaning tape. Anecdotal focus on ColdCard / self-custody security and BitGo vs. Anthropic; no bullish signal shift, consistent with the bearish BTC-vs-Dollar posture carried in from Friday.

YESTERDAY'S PUBLICATIONS — Friday, July 31 (EDT)

EARLY LOOK — “Crash, Bounce, Then?”

Early Look · 07/31/26 07:38 AM EDT · Keith McCullough

What: McCullough's playbook for trading a crash-and-bounce, built on rules rather than prediction.

Why: Markets bounce big *because* they crashed; Day 1 of a rebound is not proof the trend reversed. The plan: reduce shorts near oversold lows, wait for TRADE / TREND recaptures, and stop out when the signal changes.

Who / assets: Nikkei down **-11.6%** in a month and finally oversold; **KOSPI** exhausted; Hedgeye short **EWY**. Worked example — **Tech (XLK)** Risk Range **165–181**, TRADE **\$180**, TREND **\$176**; short cut to minimum size near the low end, stop-out if it recaptures \$180.

Key numbers: SPX **7316–7538** (bullish), XLK **165–181** (bearish), USD **99.76–102.01** (bullish), VIX **15.77–20.56**.

Takeaway: Patience over prediction — let price recapture TRADE / TREND before declaring a durable recovery.

FROM THE DESK — Macro Week Summary Notes

From the Desk · 07/31/26 05:59 PM EDT

What: The weekly research wrap (Macro Dashboard, Weekly Commentary, VIX Gauge, U.S. Monthly Quad Forecast, Chart of the Week).

Why: Consolidates the week's regime read into the **Quad4** → **Quad3** monthly transition.

Takeaway: Sets up the August #Quad3 positioning that drives Monday's book. (Full note is gated behind the member link.)

MOMO TRACKER — Mag7 (+2%), MSFT=BULLISH, AMZN=NEUTRAL

Momentum Stock Tracker · 07/31/26 08:34 AM EDT

What: Friday momentum read into the bounce. **Key numbers:** Mag7 +2%; MSFT signaled **BULLISH**, AMZN **NEUTRAL**. **Takeaway:** “Crash → Oversold → Bounce → Then?” — an oversold rebound, not a confirmed leadership reversal.

THE MACRO SHOW — Summary Notes (July 31)

The Macro Show · 07/31/26 10:30 AM EDT

What / who: New long U.S. Dollar (USD) on an oversold signal (bullish TREND, not yet TRADE), preferred vs the euro. Bitcoin bearish vs the Dollar — below both TRADE and TREND. High-Beta Momentum +14% and KOSPI ~+18% bounced but remain ~60% and ~28% below their peaks. Buying lower-beta leadership — Real Estate (XLRE) and Health Care (XLV) — on weakness; added to Brazil (EWZ); still long NZ / Philippines; prefer CRAK over crude. New short: Lithium. Gold in early build (needs higher lows → TRADE → TREND).

Key numbers: VIX 15.77–20.56 (Investable Bucket; watch ~19–20); 10Y structurally bullish. **Takeaway:** Buy resilient low-beta on the dip; don't chase the high-beta bounce; watch post-month-end vol-control selling.

SIGNAL STRENGTH STOCKS — 66 Stocks (4 Added, 4 Removed)

Signal Strength Stocks · 07/31/26 11:21 AM EDT

What: Friday's screen refresh. **Key numbers:** Added: TRU, EXPGY, LH, UL; 4 removed (net flat at 66 names). **Takeaway:** Additions skew defensive / secular (credit bureau, lab testing, staples), aligning with the #Quad3 rotation.

CRYPTO QUANT — BTC (-1.4%), ETH=BEARISH

Bitcoin Trend Tracker · 07/31/26 07:06 AM EDT

What: Friday crypto read. **Key numbers:** BTC -1.4%; ETH / ETHA BEARISH; Coinbase (COIN) 2Q miss; “the quietest tape.” **Takeaway:** No signal to own crypto — bearish ETH and a soft COIN print reinforce the risk-off crypto stance.